

(overshoot), ignore it. The pattern is still a bottom. This arbitrary designation makes intuitive sense: A bottom should appear at the end of a downtrend, not when price is climbing to the moon and not if price spiked upward just before the pattern started.

Trendlines. Two trendlines drawn across the minor highs and lows outline the pattern. The top trendline should slope up; the bottom one should slope down. The diverging trendlines distinguish the broadening bottom from other types of chart patterns, such as the right-angled broadening formation (which has one horizontal trendline) and the broadening wedge (both trendlines slope in the same direction).

Touches. To prevent confusion, I changed the guidelines to require at least five touches, three of one trendline and two of the other. Fewer touches increase the likelihood of misidentification (but it still might be a broadening bottom). Play it safe and look for at least five trendline touches.

Each trendline touch should be at or near a minor high (top trendline) or minor low (bottom trendline). What is a minor high or low? A minor high happens when price trends up, then drops back down, leaving a clearly defined peak. A minor low is just the same except flipped upside down: Price moves lower, and then heads back up, leaving a clearly defined valley.

In [Figure 8.1](#), odd numbers tag the minor highs and the even numbers are the minor lows. Let me stress that the minor highs and lows need not be alternating, as shown in the figure. Just as long as you can count at least five touches, then that's fine. If price cuts through a trendline, then don't count that as a touch.

Notice that at the start of this pattern (on the bottom), price cuts through the lower trendline, but it doesn't count as a touch.

Whitespace. [Figure 8.2](#) shows a problem with identification. This is from 3M (MMM) in August 2019. On the left side (“Bad”), the stock appears to make a broadening bottom. It has two touches of the top trendline and three on the bottom, as required. The problem is that white hole in the pattern, which I highlight at A. Price does not cross the pattern enough to fill the space.

Compare the left side with the right side (“Better”). It's the same picture except I show a down-sloping channel. It's not perfect because of the spike